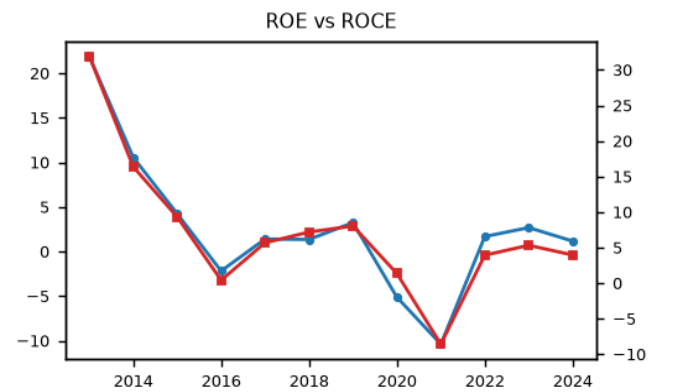
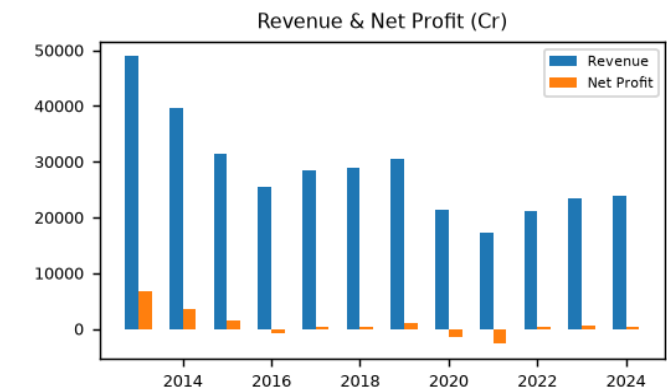
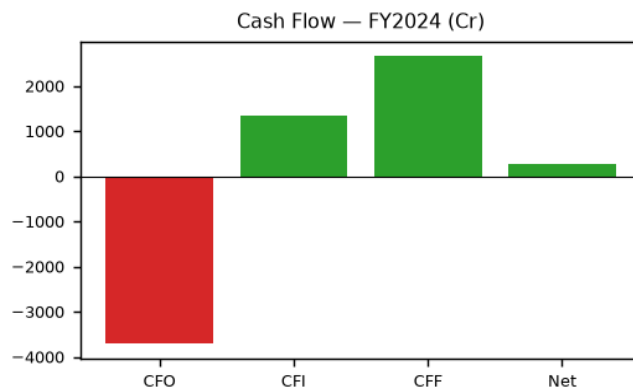
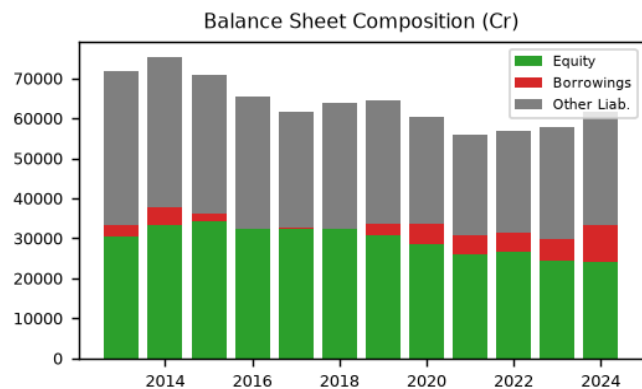


Bharat Heavy Electricals Limited (BHEL)

Industrials · Fiscal Year 2024

ROE 1.2%	ROCE 4.0%	Net Profit Margin 1.2%
D/E 0.4	Revenue CAGR 5yr -4.7%	FCF (Cr) -2,382





Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Distress Signal